

BUS 577 – Platform Power – Summer 2026

Session 5: Monetization Pricing Strategy for Platforms

**Monday, July 27, 2026
6:00 – 7:30 PM PT - Zoom**

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Individual Quiz #1 – Due Tomorrow

OPENS JULY 21 – DUE JULY 28



Opens July 21, 2026, 12:00 AM PT

Due July 28, 2026, 11:59 PM PT



15-minute time limit

Once started, the clock doesn't stop



2 attempts allowed

Highest of the two scores is kept



Covers Part 1 concepts

Sessions 1–3 material

QUIZ DETAILS

Canvas Quiz

Opens: July 21, 2026 – 12:00 AM PT

Due: July 28, 2026 – 11:59 PM PT

Time limit: 15 minutes

Attempts: 2 – highest score kept

Coverage: Part 1 (Sessions 1–3)

Group Case Study #1 – One Week Out

EPIC GAMES: NINETEEN EIGHTY-FORTNITE



Written case analysis

4–5 pages + exhibits/references, as a group



Canvas submission only

One submission per group



15% of final grade

Rubric is prescriptive on frameworks, open on conclusions

CASE DETAILS

Epic Games: Nineteen Eighty-Fortnite

Materials:	HBS 721-395 (A), 725-400 (B)
Lens:	Monetization & pricing power
Format:	Group written analysis
Length:	4-5 pages + exhibits
Weight:	15% of final grade (15 pts)
Due:	Aug 3, 2026 – 11:59 PM PT

Monetization: Pricing Strategy for Platforms

1. Who pays, who's subsidized – and why taxing the wrong side is fatal
2. Five monetization model types
3. Free as a moat vs. free that destroys value – LinkedIn vs. Groupon
4. Taking your cut without killing the network – Keurig 2.0
5. Platform tax & pricing power – Epic v. Apple

TAKEAWAY

Monetization Architecture Doc

One page showing which side pays, what they pay for, and when.

What Would You Actually Pay For?

Type into chat right now

1. *Your name*
2. *One free app or platform you use constantly – and the one feature inside it you'd genuinely pay to unlock*

Metrics That Prove – or Disprove – Pricing Power

1. Mechanics

Match rate, market depth, time to match — is the exchange actually working?

2. Monetization

Take rate — how much of each sale the platform keeps. A live read on how much pricing power it really has.

3. Stickiness

Do people use rival platforms too? How hard is it to leave? Do newer users stick around better than older ones? That's the real test of a network effect.

Take Rate Reveals Pricing Power

Q: Take Rate Up, Usage Down?

If a marketplace's take rate is going up, but people are using it less over time, what does that actually tell you, using a16z's framework?

Hint: which side is being charged too much — and is that the side that made the network valuable in the first place?

Mistake 1: Pricing Built for Individuals

The most common PLG pricing mistake: charging individuals instead of building toward teams from day one.

THE MISTAKE

Single-user plans look fine on paper, but they have weak unit economics — low retention, poor value for what it costs to acquire that person. One person alone doesn't stick around long, and doesn't spend much.

THE FIX

Notion killed its cheap solo “Personal Pro” plan and doubled the entry price, from \$4 to \$8 per user — deliberately pushing people toward team plans instead.

Notion, December 2022 — and it grew because of the change.

Land Solo, Expand to Team

Q: Why Did Doubling the Price Work?

Notion killed its cheapest, most personal plan and doubled the entry price – and grew. Why does pricing for individuals hurt the business, even when individuals are happy to pay?

Mistake 2: Ignoring the Admin's Experience

The person using the product and the person paying for it are often different people – and they want different things.

THE MISTAKE

Admins want billing control, not surprises. A surprise charge on the company card breaks the trust that made them comfortable adding more paid seats in the first place.

THE FIX

Canva doesn't bill until an invite is actually accepted. Figma emails the admin before billing kicks in on a new seat – technically reversible, but rarely reversed.

Canva & Figma

Admin Trust Protects Expansion Revenue

Mistake 3: Gatekeeping Basic Security

A 2–3x premium for single sign-on (secure login) used to be a legitimate enterprise wedge. Not anymore.

THE MISTAKE

Charging a steep premium just to unlock SSO punishes customers for a compliance need they can't avoid — it's an outdated tax, not real added value.

THE FIX

Treat SSO as a baseline feature, not a locked premium tier. It improves retention across the board — so charge for real differentiators instead.

Now standard practice across most PLG SaaS pricing.

Baseline Security, Not a Premium

Who to Charge, Who to Subsidize

Subsidize

The side that's harder to attract, watches price closely, and whose presence is what makes the platform valuable to everyone else.

Charge

The side that gets clear, obvious value from being there — and won't leave over a reasonable price.

Tax the Wrong Side

Charge the side that was actually creating the value, and you drive them away — the whole network can collapse with them.

Adobe: Reader free → Acrobat Pro paid Google: searchers free → advertisers pay OpenTable: diners free → restaurants pay

Tax the wrong side, and you kill the very thing that made the network valuable.

Five Monetization Model Types

1

Transaction Fee

% of GMV per
exchange

Uber, Airbnb, Etsy

2

Subscription

Recurring flat fee,
usage-independent

Netflix, Salesforce

3

Freemium

Free tier + paid
upgrade

*LinkedIn, Zoom,
Dropbox*

4

Data Monetization

Free to users,
monetized via
advertisers

Google, Meta

5

Enhanced Access

Pay to unlock
visibility or priority

*LinkedIn Premium,
Reddit Premium*

LinkedIn: Free Built the Network, Premium Monetizes It

LinkedIn never put a paywall on the core loop — build a profile, connect, post. That's what built the 1B+ member network in the first place. Monetization sits on top of it: Premium subscriptions (job seekers, Sales Navigator, Recruiter), plus a large ads and data business — all funded by a free network that keeps compounding.

DISCUSSION

Why would charging for basic profile creation have killed LinkedIn's network effect before it started?

Groupon: Taxing the Wrong Side

Groupon wanted to grow fast, so it went after new customers with steep discounts – 50 to 90% off. But Groupon didn't pay for those discounts itself. It made merchants pay for them, then took a big cut of what was left. Customers got the deal for free. Merchants funded almost all of it, out of their own pocket.

Who Got Subsidized

Consumers – the deal cost them nothing extra.
Groupon still collected its fee no matter what.

Who Actually Paid

Merchants – the discount came straight out of their own margin, on top of Groupon's commission.

Let's look at what this actually cost one real merchant.

The Math Behind One Groupon Deal

A yoga studio normally charges \$20 a class. Its Groupon deal: 10 classes for \$45 – a \$200 package, 77% off. Groupon takes roughly half of that \$45 as its own fee. The studio is left with about \$22.50 – for ten classes that would normally bring in \$200.

\$20

the studio's normal price, per class

~\$2.25

what the studio actually keeps
per class, after Groupon's cut

And many of these customers were deal-hunters only – they used their 10 classes and never came back at full price.

ClassPass: Same Problem, Priced Better

A few years later, ClassPass solved almost the exact same problem — for the exact same kind of business — with a smarter design.

Groupon

The merchant pays for the discount. Every merchant gets the same steep cut, every time. It's a one-time customer dump — most never come back.

ClassPass

The platform pays for the discount, funded by a subscription it charges consumers. Studios get paid more for a nearly-full class, less for an empty one — real value, not a blanket discount.

DISCUSSION — Look at your monetization architecture takeaway from earlier. Could a “who pays, what for, when” redesign like ClassPass's have fixed Groupon?

Keurig 2.0: The DRM Lockout That Backfired

2014 — Keurig added a lockout chip to its 2.0 machines, requiring “licensed” pods and blocking generic and refillable K-Cups right after its core patent expired. The goal: cheap machines, expensive pods forever. Instead, it alienated the very customers and competitors it depended on: rivals handed out free bypass clips, and consumers revolted.

“We were wrong. We underestimated the passion the consumer had for this.”

— Brian Kelley, Keurig CEO, May 2015

-23%

sales, May 2015

-25%

share price, early 2015

Resolution: Keurig reversed course — brought back the reusable My K-Cup filter and dropped the lockout.

Q: Would You Have Shipped It?

Keurig wasn't wrong to want a cut of the pod ecosystem it built — the model failed because of how it tried to take that cut.

If you were running Keurig in 2013, would you have shipped the lockout chip? Vote yes or no in chat, then defend it.

What You Give Up Building on Someone Else's Platform

Apple charges a 30% commission on the App Store. Epic's own store charges just 12%. Tim Sweeney—Epic's founder and CEO—laid out his own math publicly: “operating costs are 5–7% of revenue... payment processing 2.5–3%, bandwidth 1–1.5%, customer service 1–1.5%.” In August 2020, Epic deliberately broke Apple's rules just to force this fight into court.

The Tax: Upheld

Sept 2021 ruling: Apple's 30% commission itself is a legal way to make money. Courts won't set the price of the tax.

The Lock-In: Struck Down

Apple blocked apps from telling users about cheaper ways to pay elsewhere — even a simple link to the developer's own website. Courts ruled that specific rule illegal.

The tax was legal. The lock-in wasn't.

One Ruling, Compounding Leverage Everywhere

1

Apple Complies

Fee cut to 27% (12% for small business); external payment links allowed – still contested by Epic today.

2

Epic v. Google

2023 jury verdict: Google held an illegal Play Store monopoly – same conduct, a decisive win in front of a jury.

3

EU Domino Effect

Digital Markets Act (2022) bans anti-steering outright. Apple opened iOS to third-party stores in the EU – Epic Games Store + Fortnite shipped there Aug 2024.

A single US ruling on anti-steering became leverage in every other country.

Was Epic's Fight Worth It?

Epic gave up real short-term money – Fortnite pulled from iOS for years – to get long-term pricing power leverage against almost every major regulator in the world.

"Yes – worth it"

The long game paid off: a legal precedent, a jury win against Google, and a foothold in the EU that didn't exist before.

"No – too costly"

Epic could have pursued the same regulatory outcome without breaking its own contract and losing years of iOS revenue.

Pick a side – this is exactly the lens your case write-up needs.

Monetization Architecture

WHO PAYS

Restaurants — a per-order commission

WHAT THEY PAY FOR

Access to demand: discovery, delivery logistics, payment handling

WHEN

Commission at order fulfillment; consumer delivery/service fee at checkout

Worked example: DoorDash — restaurants pay, consumers pay a smaller fee, dashers are paid (not charged).

Use this framework anytime you analyze a platform's monetization — including your Epic Games case.

What we did today

- Who to subsidize, who to charge – and why taxing the wrong side is fatal
- Five monetization models; free as a moat (LinkedIn) vs. free that destroys value (Groupon) – and how ClassPass fixed it
- Governance balance (Keurig 2.0) and platform tax / pricing power (Epic v. Apple)

NEXT SESSION

Session 6: Platform Metrics – Measuring What Actually Matters

Why standard KPIs mislead, platform-specific metrics, and building a platform health dashboard.

Questions or want to talk further? Find me on LinkedIn, send me email or set up a 1:1 Zoom